

Project Design Phase

Proposed Solution Template

Date	15 February 2025
Team ID	
Project Name	AI-Powered Debt Relief & Financial Recovery Platform
Maximum Marks	2 Marks

Proposed Solution Template:

Project team shall fill the following information in the proposed solution template.

S.No.	Parameter	Description
1.	Problem Statement (Problem to be solved)	Borrowers who fall behind on loan payments have no structured way to understand the severity of their situation or negotiate a fair settlement with their lender, leaving them to either default silently or send an unstructured, underprepared request.
2.	Idea / Solution description	An AI-powered web platform where a borrower enters their loan details and instantly receives a rule-based debt-stress score and settlement recommendation, plus an AI-generated (Google Gemini), lender-specific negotiation letter grounded in their real financial numbers — covering the full journey from loan intake to dashboard tracking of overall financial health.
3.	Novelty / Uniqueness	Combines a deterministic, transparent financial-analysis engine with generative AI used strictly for language generation, never for deciding the settlement math. Borrowers get numbers they can trust plus a ready-to-send letter — unlike generic AI chatbots that can hallucinate settlement figures, or static calculators that stop at a number without helping the borrower act on it.
4.	Social Impact / Customer Satisfaction	Helps financially vulnerable individuals avoid expensive, sometimes predatory debt-settlement agencies, reduces the anxiety of negotiating alone, and can improve outcomes for borrowers who would otherwise default silently and suffer long-term credit damage.
5.	Business Model (Revenue Model)	Freemium model: a free tier covers basic loan analysis and settlement recommendation; a premium subscription unlocks unlimited AI-generated negotiation letters, multi-loan tracking, and a future credit-recovery roadmap feature. A secondary B2B channel could license the platform to credit counseling agencies and NBFCs as a borrower-support tool.
6.	Scalability of the Solution	The backend (FastAPI + SQLite) can migrate to a managed Postgres database for higher concurrent load without changing the API layer. Frontend (Vercel) and backend (Render) are independently deployable, allowing each tier to scale separately. The financial-analysis engine has zero external dependencies, so it scales linearly with compute, and Gemini API usage can move from free tier to a paid tier as user volume grows.